SCS-3134 - Levi Strauss Group Assignment

Daniel Baker, Ketan Khanna, Jenny Kim

Read the Levi Strauss article, and:

1. Discuss Levi Strauss's current marketing mix (4 P's)
    - **Product**: Denim/ Jeans **(Perhaps Semi Premium Denim Clothing?)**
    - **Price**: mid-range **(I may classify these as upper mid-range, what do you guys think?)(Potentially define a scale for Levis in terms of Jeans pricing, Eg. Luxury/Expensive, Premium, Affordable/Mid-Range, Cheap or Low Quality)**
    - **Place**: Brand-owned outlets **(2800 in over 110 countries, I think)** (**Additionally: Online, Chain Retailers: Definitely Hudson's Bay** (not sure but Costco, Walmart, Guy from class was saying their sold them at bike shops)
    - **Promotions**: new marketing strategy of shifting the brand away from rust-bell **(was this belt?)** edginess and toward a cheery mainstream
        - Focus on customers' biographies rather than the company's
        - "Live in Levi's" campaign
        - **Custom Fitted Jeans?**
        - **Bringing back their distribution facility /headquarters and management operations back to the U.S in SF instead of Turkey. Good as this avoids gridlock in decision making, could tie into place, which is a thumbs up from us). This is a form of promotion as it defines Levis as authentically American : ie think tank for company in the States rather than elsewhere, capitalize on domestic market)**

      Note: We could potentially agree with certain decisions the company has made, but may not pertain to the question

2. Identify whether Levi Strauss has a sustainable competitive advantage, and what that is
    - The brand holds a competitive advantage over other brands in its age and history **(Legacy/Heritage in the denim market)**. Since it has been producing jeans for so long, its **production process has gained a considerable competitive advantage due to an increasingly refined manufacturing process. New and ever-changing technology has allowed the company to create different varieties of denim product fitted for all types of consumers (Eg. 501, Slim, Straight, Regular, Athletic Fit, etc.) (Horizontal segmentation?)**
    - When the typical North American consumer thinks of jeans/ denim, Levi's is the first brand that comes to mind, which speaks to a strong brand equity and its **iconic stature in the denim industry. This heritage has led to brand loyalty across multiple generations (Eg. Guy who wore his dad's jeans and had no regrets).**

- **Its ability to operate as a MNC in order to have distributions channels all over the world. Levi's ability to sell on a global level within 110 countries, all with various cultures and ethnicities gives the company a tremendous competitive advantage as it allows for brand awareness on a massive scale, while further attempting to penetrate various untapped markets (Eg. Asia, they will keep trying though they have failed so far (their crappy denizen brand or whatever).**

3. What should the company's marketing strategy be going forward? Consider who they should target and the 4 P's.
    - Aimed at millenials/ younger generation (16-30 yrs)
    - **Effectively market the legacy of the Levis company within the denim industry to the average American consumer to invoke brand loyalty amongst the American demographic, whom understands that the Levis company is a part of American heritage (Or it should be?). Levis Apparel is accessible and trendy to people of any generation (Old School teaming up with New School, Get young and old rock and roll celebrities synonymous with the brand to represent this generational divide). Jeans are so iconic that anyone can wear them.**
    - Connecting the image of the "Old Western Cowboy" to the "Young Urban Cowboy". **(Maybe new school technology vs old schhol rugged physicality can plaay into this , marketing campaign)**
    - Communicating the evolution of the brand, and a passing of the torch from a past generation to a new generation
    - **Promotions**: In order to grow, they need to promote something edgier than "Live In Levi's"
        - New campaign slogan:
            Live Loud.
            In Levi's.
        - Use celebrities as marketing communicators
        - Idea for **YouTube commercial spot**: Opens with Bruce Springsteen alone on stage wearing Levi's denim, playing a classic tune, and Jack White comes out on stage and joins him. Also fully clad in Levi's gear, he picks up a guitar and jams alongside him, introducing a new sound and a new look.
        - Can also have a female equivalent with Joan Jett and Taylor Swift/ Miley Cyrus?
        - Fun, edgy, sentimental, speaks to more than one generation (age demographic), and more than one gender demographic
    - Can also incorporate **experiential marketing (events/ sponsorships)** by handing out **sales promotional material (coupons)** at rock concerts.
    - **To successfully market its clothing apparel to the average American consumer, it is essential and crucial to establish the**

appeal of your product to the customer, incentivizing them to a purchase. A brand which emotionally resonates and psychologically lures the consumer will ensure its success in the market through effective marketing. Levis targeted its typical consumer (20s-30s age group) by looking at their psychographics attributes (activities, interests, opinions) and the biographies was an effective method of achieving that goal. However Levis should concentrate on establishing brand awareness by ensuring customers are able to view these advertisements at locations where it would be considered relevant (Young people go to movie theatres = effective marketing?).

- **Accessible to people of all demos (young, old/men, women and children, product lines for all)**
- **Place**: Construct additional brand-owned outlets with primary goal and of increasing sales. Potentially remove product from lower end stores (Walmart?) to establish and differentiate its upper mid-range brand quality. Experiment while not divesting a substantial amount of resources into capturing the Asian Market by trying different product lines and advertising campaigns one low cost step at a time.
- **Price**: Remain mid-range to **appeal to middle class income earners (largest earning demographic) who have the necessary disposable income to purchase Levi's jeans. (Perhaps have upper range products for those who want to buy higher quality/priced items)**
- **Product**: **Remain in the Denim line as the production process has been refined to ensure quality of the product remains consistent and intact. Technologically Levis also has a completive advantage with respect to producing jeans with state of the art features (eg. water resistance, ergonomically fitted, etc.)**
- Additionally, perhaps introduce an in-store service of customized jean fitting/ styling ("rock star treatment"), and tailoring at a discounted price depending on how much was spent on purchase?
- **Avoid product lines related to athleisure as Levis is unfamiliar with these types of products and its immaturity in this industry would not allow for effective brand marketing, ensuring a lack of market share amongst this target group.**
- **Brand research: (what types of jeans do people wear?)**